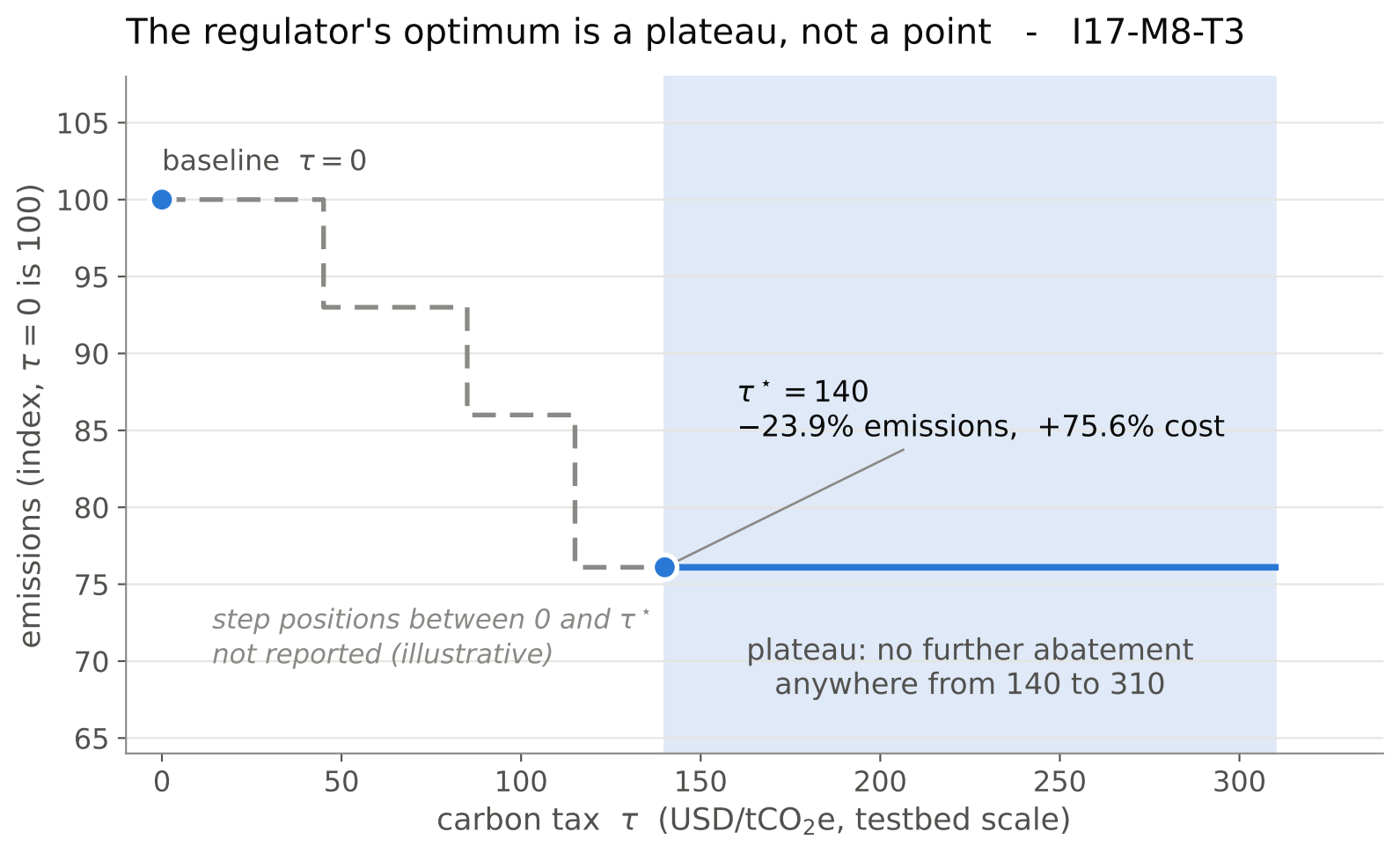
The regulator's optimum is a plateau, not a point - I17-M8-T3
emissions (index, τ = 0 is 100)
105
100
95
90
85
80
75
70
65
baseline τ = 0
τ* = 140
−23.9% emissions, +75.6% cost
step positions between 0 and τ*
not reported (illustrative)
plateau: no further abatement
anywhere from 140 to 310
0
50
100
150
200
250
300
carbon tax τ (USD/tCO2e, testbed scale)